⚡ Amp Academy — Business Plan & Partnership Brief

For Jim Repasch & Mike Longley · Michael “Stagger Lee” Lukas · 2026-06-21

Not legal or financial advice. This is a founders' business plan to align us and to take to an attorney + CPA. Financial projections are **illustrative, built ground-up on tiny market acceptance** — a planning tool, not a forecast or a promise. Entity, equity, vesting, salaries, and distributions are finalized by counsel. No accreditation, pass-rate, or endorsement claims are made. Student-data revenue is gated on a FERPA sign-off.

1 · Executive summary

Amp Academy is **built, live, and ready to sell.** It's a family of installable, works-offline electrician courses and tools, tied together by one Campus and an AI tutor engineered never to invent a code value. It already runs on your phone today.

The wedge isn't "more courses." It's **proof.** Completion is earned on a real assessment; the video lessons make you answer to continue. And the **institutional backend (edex) is live** — rostered cohorts, entitlement, and **verifiable completion**, built privacy-first to a FERPA standard. That turns free tools into something a **VOTECH, a district, or an IBEW local can actually run and pay for, per student and per cohort.**

The business is **high-margin software (95%+)** with a **tiny cost base** (detailed in §10 — we're honest about where we ride free tiers). Consumer sales are the funnel; **the enterprise/institutional contract is the engine.** We're proposing a **three-way partnership** (plus Jimmy Christmas on a small earned slice) to go sell it — **nobody rides for free, whoever sells gets paid, and most of the cash flows to the owners.**

2 · The opportunity (the market)

- **~762,600 US electricians**, ~80,000 openings/year, **+11% growth to 2033** (BLS). A real, growing niche.
- **~55,000 union (IBEW/JATC) apprentices** in formal programs — our enterprise beachhead.
- **The institutions hold the budget:** JATCs spend **~$4,500/apprentice/year** on training; employers receive **$1,250–$1,750/apprentice** in tax credits; districts fund CTE through Perkins. Our pricing sits *well under* that envelope — an easy yes.
- **The individual buyer isn't price-sensitive** in the $30–$100 band (prep cost is trivial against a journeyman's wage).

The Holt lesson (and our strategy): Mike Holt (~$10M/yr) and Electrical Code Coach (93k YouTube subscribers) both run the same playbook — **free YouTube → paid upsell**, acquired through trade communities and institutional relationships, **not paid ads.** The free baseline is everywhere; you don't beat it on price. **You beat it on value — depth, convenience, authority, and our unique wedge: verification.** Our strategy mirrors the winners: *organic reach feeds an easy-yes funnel; the money is made on institutions.*

3 · What's already live (the proof)

Campus: https://michaellukasme-dot.github.io/amp-academy/ — install a course on your phone; it works offline.

Journeyman across **all four NEC editions (2017/2020/2023/2026)**, a Multimeter quick-class, Residential Estimating, the full **Electrical Code Coach** (our Perry co-brand), and a verified **Load Calculator** — one Campus, one icon, an **honest AI tutor in English and Spanish**, a **Guides hub**, and **edex live on Supabase** (schema, row-level security, audit, entitlement + certificate functions — all deployed and tested). This is not a concept deck.

4 · The business model

Two motions, one platform:

1. **Consumer funnel (easy-yes):** free tools + sample lessons (PostMind/YouTube-fed) → $99 single course (all editions) → $24.99/mo or $199/yr All-Access. This is reach and brand; it is **modeled separately** (it's also where Perry's ECC lives — a consumer play, in its own brief).
2. **Enterprise engine (the money):** rostered, verified, per-student / per-seat / per-cohort contracts to VOTECHs, districts, JATCs, and IBEW locals. **This plan and the proforma are about the enterprise engine.**

The platform technology (engine, player, design system, tutor, **edex**) is **licensed in from LUKAS_APPS** — **$0 today**, converting to a paid license (a % of revenue, on a trigger) once money flows. Amp Academy **owns its course content, the brand, its customers, and its revenue.** (Full IP structure in the package.)

5 · The enterprise offering & pricing (Computer-Associates style)

Tier	Price	Where it sits
Per student / per course (rostered, verified, cert)	**$49/student/course**	≫ NCCER $20–24; ≪ the $4,500 envelope
Per seat / year (all-access, verified records)	**$129/student/year**	Trivial vs. $4,500/apprentice
Cohort / site license (district, JATC, employer)	**$3,000–$6,000/cohort/yr**	The real revenue line

Deal structure (CA-style): a **1-year price ($x)** and a **3-year price ($3x − y)** — a discount for the multi-year commit — with a **renegotiation at year two** (expand seats, raise price). Land one cohort, prove it, expand the account. The proforma models a blended **~$4,000 effective annual contract** per customer — conservative.

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6 · Go-to-market & the sales plan

The motion is enterprise, relationship-led — exactly the Holt playbook. Three named beachheads:

1. **VOTECH / BASD (Customer #1):** Bethlehem Area School District or any vocational-technical program. This is the **first close and the milestone that starts Reppy's equity vesting.**
2. **IBEW locals — Jimmy Christmas:** a 36-year Bethlehem PA union electrician and educator. We **point Jimmy at the IBEWs** — his name, floor credibility, and network open doors no website can. He sells; he gets paid.
3. **Districts / employers / JATCs:** the broader institutional market, under the $4,500 training envelope.

The rule: whoever sells gets paid. Jimmy, Reppy, Longley, Michael — **the person who closes the deal earns the commission**, every time. This keeps everyone hunting.

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7 · Commission plan — MOST / LESS / LEAST (the CA model)

Commission is **front-loaded over the 3-year life of a deal**, paid to **whoever closed it**:

Deal year	Commission	Logic
Year 1 — MOST	**20% of first-year contract**	Reward the hunt; closing a new logo is the hard part
Year 2 — LESS	**10%**	Keep the account healthy through the renegotiation
Year 3 — LEAST	**5%**	A trailing thank-you; the account is now the house's

Commissions are an **operating expense paid before distributions** — the cost of growth. (All rates are inputs in the model; adjust freely.)

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8 · Equity, vesting, departure, salaries & distributions

The doctrine: nobody rides for free. Equity is **milestone-earned**, and **most cash flows to the owners.**

Two cap-table scenarios (quantified side-by-side in the model):

Holder	Core (LOCKED)	Fully loaded (after Holt+Perry)	Earns it by
Michael Lukas	**72%**	**59%**	Tech + platform license + ongoing build (principal)
Jim Repasch	**15%**	**15%**	**Customer #1 (BASD/VOTECH)** → #5 → #12 (tranches)
Mike Longley	**10%**	**10%**	SME content + relationships + his closes
Mike Holt — CCO	—	**up to 10%**	joins as CCO + introduces us (LESS/MORE/MOST offer; from Michael's share)
Jimmy Christmas	**3%**	**3%**	IBEW deals he closes
Perry (optional)	—	**3%**	drives the consumer engine (from Michael's share)

Locked 2026-06-21: Michael keeps a 59% majority even fully loaded — control is the floor, with plenty of cushion. Holt and Perry are granted out of Michael's share, so Repasch/Longley/Jimmy are never diluted. The Holt grant is itself a LESS/MORE/MOST negotiation (ceiling 10%) — see the internal Holt offer sheet.

Strategic & key-person equity (contingent, milestone-driven, funded from the principal's share): The principal (Michael) holds room to make two strategic bets that would lift *everyone's* equity — granted out of **his own slice**, so they **do not dilute Repasch, Longley, or Jimmy**:

Strategic grant	Up to	Conditions (all milestone-driven, 3-yr vest)
Mike Holt — Chief Content Officer	**10%**	(1) joins as **CCO on salary**, (2) **introduces Amp Academy to the world** (his audience/authority), (3) hits defined content + growth milestones
Perry — advisory	**3%**	drives the consumer engine; separate from his revenue-share doors (counsel to confirm the bridge)

Landing **Holt** would be transformational — he is the category's dominant voice (~$10M/yr). The Holt grant is offered as a **LESS/MORE/MOST ladder** (like Perry's doors): a smaller slice for a light role, scaling to the **10% ceiling** for full CCO + the world-introduction + hard milestones. Even with both grants at the max, the **fully-loaded** cap table is **Michael 59 · Repasch 15 · Longley 10 · Holt 10 · Jimmy 3 · Perry 3 — Michael stays principal and majority owner (59%)**, and the founders' slices are untouched because the strategic grants come from **his** share. These are **options, not commitments.**

Vesting — same rules for everyone, including me: - Vesting **starts month 1**, but **nothing is exercisable before month 13** (a 12-month cliff). - **Leave before month 13 → total forfeiture.** - **Leave after month 13** → keep what's **vested**; **forfeit the unvested** (it returns to the pool); the company / remaining founders hold a **buy-back right** at fair value (good leaver) or lower-of-cost-or-FMV (bad leaver — cause or competing). - Vesting is **conditional on performance**: still working, pursuing deals, generating revenue, **hitting the defined goals.** Full vest over **3 years.**

Salaries: none until cashflow supports them. Once Amp Academy holds its operating reserve and is cash-positive after obligations, the working partners draw **modest, agreed salaries** — an operating expense paid **before** distributions. (Modeled starting in Year 3.)

Distributions: a **quarterly sweep.** After each quarter we distribute available cash to **vested** holders **pro-rata**, retaining only **(a)** ~one quarter of operating reserve, **(b)** committed obligations (commissions, the LUKAS_APPS license once active), and **(c)** a tax set-aside. **Most cash to the owners; leave what's needed to operate.**

Control & right of first refusal: Michael is the principal / controlling member. Any transfer of a membership interest is subject to a **right of first refusal** — it must be offered back to the company first, then to the founders pro-rata, before it can go to any outsider. **We control who our partners are.** Combined with the milestone-vesting and the leaver buy-back, this keeps the cap table to people who are actually building the business — fair, but **no free-loaders, and no surprise partners.**

So each partner's total take = salary (if working) + distributions (by equity) + commissions (if selling) + the growing value of the equity itself.

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9 · Financial projections (ground-up, tiny acceptance)

From the companion model (`AA_Proforma_Model.xlsx`) — **enterprise only, deliberately conservative, one customer at a time.** Edit any blue cell to run your own scenario.

	Y1	Y2	Y3	Y4	Y5
Customers (cumulative)	1	5	12	25	50
Revenue	$4,000	$20,000	$48,000	$100,000	$200,000
Gross profit (~95%+)	$3,388	$19,038	$46,350	$96,688	$193,375
Cumulative cash distributed	$0	$6,088	$10,512	$17,750	**$51,600**
Implied enterprise value (3× ARR)	$12,000	$60,000	$144,000	$300,000	**$600,000**

What that means for each of you (base case, fully-vested basis): - At **Customer #12 (Y3):** AA is worth ~$144k — **Repasch's 15% ≈ $21,600**; at **Customer #50 (Y5):** ~$600k — **Repasch's 15% ≈ $90,000**, plus cumulative cash, plus commissions on what you closed. - In the **30/30/30 scenario**, Repasch's stake at Y5 ≈ **$180,000** — the trade is plain: a bigger slice of the venture vs. Michael carrying the technology. **The model quantifies both so we can decide together.**

This is **tiny acceptance.** The margins mean every additional cohort drops almost straight to the owners; the upside above 50 customers is the real prize.

Liquidity path (the exit): the equity value is realized through a **strategic sale / roll-up** to a larger training or workforce-education firm — the natural exit that turns each partner's stake into **cash.** We build to be **acquirable on purpose:** a clean licensed-IP spine, the verifiable-completion moat, recurring institutional contracts, and the Perry/consumer funnel feeding the top. Sell enough cohorts, get the consumer engine cranking, and the whole thing becomes a tidy bolt-on for a bigger player — that's the day everyone's equity pays off.

The goal — a strong payday for Reppy and Longley. Michael's aim isn't to maximize his own slice; it's to see his partners do well (55 years with Reppy; Longley is why this got built) and then go live his life. With the locked split (**Reppy 15% · Longley 10%**), here's what each nets by exit size — and the exit each needs to personally clear $1M:

Exit value	Reppy (15%)	Longley (10%)	Michael (59%)	Holt (10%)
$6.25M	$937k	$625k	$3.69M	$625k
$6.67M	**$1.0M**	$667k	$3.94M	$667k
$10.0M	**$1.5M**	**$1.0M**	$5.9M	$1.0M

Honest note: because Longley is now at 10% (his call to set), a clean **$1M to Longley needs a ~$10M exit** — at which **Reppy clears $1.5M and Michael ~$5.9M.** At the easier ~$6.25M exit, Reppy is ~$937k and Longley ~$625k. The partners aren't equal anymore — that's the trade-off of the 15/10 split. Either way **Michael stays at 59% and keeps control.**

How many do we have to sell? (units to a $6.25M exit) The revenue we need depends on the multiple a buyer pays (higher for recurring revenue) — and that converts straight into units (model's **Exit tab §4**):

Buyer pays (× revenue)	Revenue needed	≈ $99 course sales	≈ cohorts ($4k/yr)
10× (rich, recurring)	$625k	~6,300	~156
5×	$1.25M	~12,600	~313
2.5× (thrifty)	$2.5M	~25,300	~625

So "selling Amp Academy outright" is **somewhere between ~6,300 and ~25,300 course sales** — or **~156 to ~625 institutional cohorts** — depending on the multiple. Recurring subscription/cohort revenue earns the higher multiples, so the **enterprise engine + All-Access subscriptions are what make the exit cheap in units.**

Alternative path — "The Holt Campus" (white-label / passive income). Instead of (or before) an outright sale, we can **license the platform to Mike Holt** — he fills our software with **his** content + audience, brands it the Holt Campus, and **sells it into the IBEWs himself.** We become the **platform/landlord** and collect a **recurring royalty** (a % of his revenue or a per-seat platform fee) — passive income with no sales grind, and a natural runway to Holt eventually **acquiring** the platform. AA becomes the picks-and-shovels other campuses run on (the edex backend is already multi-tenant). ECC stays carved out for Perry. *Internal playbook:* `AA_HOLT_OFFER_AND_HOLT_CAMPUS`.

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10 · Infrastructure & cost honesty (where we ride free)

No fake-free-forever. Amp Academy currently runs largely on third-party **free tiers.** Here's the truth, with the market price and the revenue mark where each flips to paid (full table in the model):

Service	Today	Market price	Flips to paid when...
GitHub Pages (hosting)	FREE	$0	effectively never at our scale
Cloudflare Workers (tutor relay)	FREE (≤100k/day)	$5/mo	thousands of active students
Supabase (edex DB)	**PRO $25/mo (paying)**	$25→$599/mo	thousands of seats
Anthropic API (tutor brain)	usage-based	~$0.50/student/course	always usage — price covers it
Email (sign-in)	FREE tier	~$20/mo	a few thousand signups/mo
Domain	owned (Longley)	~$15/yr	renewal only

Bottom line: the only cost that scales with use is the tutor API (~$0.50/student/course — covered by price). Fixed costs stay under a few hundred dollars a year until we're at thousands of seats. **This is a genuinely cheap-to-run, high-margin business.**

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11 · Risks & gates (honest)

- **FERPA / student data:** no real student PII and no institutional revenue until counsel clears the **FERPA/DPA** terms. edex is built to that standard and live with **synthetic data only.** This gate is by design.
- **Trademark:** "Amp Academy™" needs a clearance/knockout before we lean on the brand.
- **Entity & tax:** LLC vs. partnership, vesting mechanics, buy-sell, and the distribution/salary treatment are for the attorney + CPA. This plan is the input to that.

- **Key-person / platform:** the tech is licensed from LUKAS_APPS; the license terms (and reversion on dissolution) protect both sides — but it means Michael holds the platform. That's reflected in the base-case equity.

12 · Decisions for the three of us

1. **Equity scenario** — base (67/15/15/3) or egalitarian (37/30/30/3), or somewhere between.
2. **Roles** — Repasch's and Longley's primary roles + contributions (for the MOU table).
3. **Milestones** — confirm Customer #1 = BASD/any VOTECH; set the #5/#12 tranches.
4. **The license trigger/rate** — when and how the LUKAS_APPS license converts from $0.
5. **Salary trigger + distribution cadence** — confirm quarterly + the cashflow gate.
6. **Then:** to the attorney (binding agreement, FERPA/DPA, trademark) + CPA (tax/entity).

13 · Addendum — the guides (included in this package)

- **AA_Student_Guide.pdf** · **AA_Instructor_Guide.pdf** · **AA_Admin_IT_Privacy_Guide.pdf** · **Installation_Quick_Setup.html** · **AA_Overview.pdf**
- Companion model: **AA_Proforma_Model.xlsx** · Partnership term sheet: **AA_Partnership_MOU_DRAFT.pdf** · Consumer/Perry play: **AA_Perry_Consumer_Play.pdf** (separate).

Install a course. Read the numbers. Let's find 30 minutes and settle roles + equity — then I take it to counsel. I think this is a real one. — Michael Lukas